T-12 OPERATING STATEMENT

Dunmore Calloway Health Center | Boston, MA

Property	Dunmore Calloway Health Center
Period Ending	November 17, 2022
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	173,988 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	716,514	700,002	752,388	709,340	715,739	717,496	687,874	698,588	715,130	685,483	733,726	721,653	8,553,934
4010 Loss to Lease	397,835	418,990	435,145	434,145	423,318	421,772	421,243	438,360	417,441	430,549	407,933	413,972	5,060,702
4020 Vacancy Loss	229,520	244,171	232,045	243,684	229,116	244,658	237,839	243,590	229,503	237,121	255,275	229,751	2,856,273
4030 Concessions	14,085	14,779	14,271	15,263	14,609	14,123	14,897	15,206	14,826	15,035	15,201	13,692	175,985
4040 Bad Debt	582,571	528,620	560,091	521,505	568,203	523,755	546,405	590,792	528,064	534,327	545,079	517,355	6,546,766
4050 Late Fees	176,086	181,116	185,835	179,848	174,829	189,865	187,746	184,332	169,306	175,360	166,328	178,651	2,149,303
4060 Utility Reimbursements	184,435	195,083	193,568	203,144	206,446	205,546	207,801	197,148	190,869	200,393	208,065	205,586	2,398,084
4070 Parking Income	575,498	578,293	616,732	576,197	603,568	570,398	564,865	574,922	577,104	610,711	590,860	596,365	7,035,512
4080 Application Fees	239,808	238,113	236,917	242,450	230,232	238,429	226,198	235,792	229,963	230,777	248,816	227,310	2,824,806
4090 Pet Rent	354,783	389,272	342,202	347,879	378,565	389,240	374,170	362,377	370,362	347,679	369,692	383,218	4,409,440
4100 Laundry Income	272,984	264,797	290,945	276,360	298,073	286,879	277,958	286,427	285,671	281,875	268,258	281,940	3,372,166
4110 Cable/Internet Revenue	501,775	566,517	544,594	547,575	512,766	502,021	568,827	542,734	541,931	517,117	534,965	502,150	6,382,971
4120 CAM Reimbursements	61,937	60,555	65,244	58,106	62,683	60,509	63,046	64,065	57,412	62,310	58,491	60,165	734,523
4130 Tax Reimbursements	632,091	611,551	667,993	665,502	669,598	595,669	640,821	620,950	651,938	669,840	600,706	666,529	7,693,187
4140 Insurance Reimbursemen	69,075	71,580	70,863	68,470	73,133	70,426	74,848	72,241	66,924	67,957	74,833	75,093	855,442
4150 Percentage Rent	504,142	519,245	539,697	513,795	497,308	528,715	549,219	513,120	519,950	502,697	540,184	512,700	6,240,772
4160 Misc. Income	53,626	50,335	54,377	54,453	52,319	55,887	56,222	52,975	55,664	51,129	54,807	55,700	647,494
4170 Payroll - Management	36,524	35,186	34,736	35,246	36,533	35,577	33,414	36,518	34,585	32,038	36,458	32,992	419,807
4180 Payroll - Leasing	54,653	58,610	56,442	60,038	58,795	56,747	54,575	56,721	60,519	59,923	58,485	54,280	689,789
4190 Payroll - Maintenance	60,209	66,692	62,639	66,768	63,702	60,692	63,222	65,401	60,504	59,488	67,055	64,657	761,029
4200 Payroll Taxes & Benefits	25,477	27,694	27,849	28,977	25,623	27,080	27,489	25,956	25,630	27,948	28,458	27,790	325,970
4210 Repairs - Plumbing	35,555	34,999	38,104	35,313	38,094	33,809	36,218	34,829	37,357	34,120	33,476	35,334	427,208
4220 Repairs - HVAC	57,643	61,249	56,945	61,595	61,331	61,370	61,733	56,644	60,084	61,352	58,700	57,634	716,279
4230 Repairs - Electrical	78,069	72,578	76,063	77,930	75,340	72,508	75,128	70,782	69,240	70,368	76,223	72,538	886,767
4240 Repairs - Appliances	47,523	51,166	50,136	50,394	51,457	50,797	46,454	51,913	48,091	48,009	47,263	50,411	593,615
4250 Painting & Decorating	54,872	49,369	54,941	55,007	51,162	50,129	53,341	51,149	53,117	52,170	50,609	54,847	630,712

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	31,721	32,659	31,605	33,291	30,478	30,975	33,299	31,695	31,918	33,940	34,649	34,780	391,011
4480 Real Estate Taxes	64,107	59,582	63,315	64,107	63,571	58,852	59,109	66,487	60,906	62,899	59,805	60,617	743,358
4490 Asset Management Fee	52,959	59,507	55,804	55,389	59,475	57,161	55,584	57,909	54,938	53,541	53,967	52,685	668,920
4500 Replacement Reserves	35,226	35,601	38,296	38,492	38,120	35,794	36,576	36,598	35,532	34,986	33,694	37,852	436,765
4510 Roof Repairs	42,916	45,406	44,330	46,495	42,377	44,015	44,742	44,727	45,362	44,732	46,874	47,320	539,295
4520 Parking Lot Repairs	69,434	69,643	75,490	78,509	78,919	78,219	77,701	70,665	74,644	74,550	69,156	75,131	892,060
4530 Signage	18,757	20,191	17,998	19,631	17,976	19,193	20,202	18,673	20,186	20,226	20,016	19,279	232,331
4540 Tenant Improvements	47,927	47,446	45,486	49,727	50,734	48,754	44,248	49,690	45,825	47,536	47,613	48,985	573,970
4550 Leasing Commissions	63,737	66,239	70,075	69,491	65,742	62,724	63,367	70,234	63,391	70,942	63,007	64,027	792,976
4000 Gross Potential Rent	702,202	742,512	727,351	685,977	696,520	712,665	740,261	714,468	665,628	761,906	696,621	672,339	8,518,450
4010 Loss to Lease	489,796	468,646	463,531	462,735	486,534	481,825	462,237	493,356	488,277	460,279	493,185	487,713	5,738,114
4020 Vacancy Loss	363,478	373,349	363,086	380,328	356,658	382,609	372,387	352,023	359,231	393,498	400,503	366,227	4,463,376
4030 Concessions	333,161	304,977	296,729	319,583	325,907	335,904	324,399	306,250	329,816	330,270	315,528	322,573	3,845,097
4040 Bad Debt	24,863	25,898	25,122	25,978	25,308	27,585	26,305	26,933	24,915	27,299	25,803	28,029	314,037
4050 Late Fees	297,887	273,623	274,534	288,728	266,444	278,021	272,314	294,652	294,537	270,151	278,800	275,867	3,365,558
4060 Utility Reimbursements	20,010	19,474	21,303	21,511	20,137	22,152	19,631	20,239	20,309	21,719	20,986	21,625	249,097
4070 Parking Income	425,837	427,776	440,602	430,402	416,749	398,850	423,424	457,837	436,207	416,714	429,191	433,566	5,137,155
4080 Application Fees	460,167	456,737	453,491	472,703	483,293	496,798	489,508	484,073	474,354	488,549	448,591	489,502	5,697,766
4090 Pet Rent	387,832	434,912	402,094	420,231	407,072	383,924	380,612	395,529	386,793	395,138	390,530	434,530	4,819,197
4100 Laundry Income	343,841	345,593	369,857	345,253	352,567	352,477	352,492	324,561	359,607	325,499	343,257	327,139	4,142,143
4110 Cable/Internet Revenue	464,829	445,409	497,731	497,774	470,878	453,327	445,753	483,906	491,343	499,312	481,784	473,478	5,705,526
4120 CAM Reimbursements	19,403	19,579	18,276	18,872	18,072	17,566	18,428	18,520	18,447	18,000	17,977	19,946	223,087
4130 Tax Reimbursements	557,058	536,820	522,198	502,415	540,245	559,900	565,918	550,234	508,574	495,833	546,668	531,445	6,417,308
4140 Insurance Reimbursemen	642,754	618,156	594,386	654,439	625,179	607,131	627,036	637,871	636,826	670,619	607,581	598,547	7,520,524
4150 Percentage Rent	507,242	521,870	509,702	526,826	523,528	529,267	491,405	468,028	527,818	516,343	509,423	500,540	6,131,991
4160 Misc. Income	446,322	453,476	455,618	419,147	433,851	397,899	439,837	427,956	396,978	439,787	430,659	454,364	5,195,895
4170 Payroll - Management	45,403	45,941	44,631	46,999	50,071	45,670	45,428	46,017	45,108	48,302	48,006	47,561	559,138
4180 Payroll - Leasing	77,190	75,131	79,188	71,650	77,879	74,651	73,347	77,445	71,499	72,685	75,123	70,081	895,870
4190 Payroll - Maintenance	58,392	59,922	58,641	60,591	59,158	57,828	57,676	56,817	54,503	60,069	60,813	54,235	698,645
4200 Payroll Taxes & Benefits	22,839	20,715	23,353	21,928	21,434	20,966	20,762	23,272	21,128	21,982	23,195	21,572	263,147
4210 Repairs - Plumbing	25,156	26,591	27,180	27,026	25,838	26,545	28,489	26,645	26,165	27,596	27,346	27,771	322,347
4220 Repairs - HVAC	81,086	76,661	77,822	75,450	78,103	71,742	77,335	79,425	74,938	78,582	75,429	75,100	921,672
4230 Repairs - Electrical	86,268	90,350	84,802	86,307	87,199	79,579	91,460	88,189	82,895	80,318	89,703	87,531	1,034,601
4240 Repairs - Appliances	9,446	9,705	9,684	8,601	9,544	8,759	9,723	8,702	8,626	8,654	9,728	9,261	110,434
4250 Painting & Decorating	81,856	75,860	84,120	82,349	78,214	81,317	84,758	85,398	75,367	77,301	81,270	76,186	963,997
4260 Flooring	19,653	19,429	19,047	18,631	19,028	19,828	18,968	18,877	17,919	18,188	17,403	17,313	224,283
4270 Make-Ready / Turnover	34,821	31,582	35,451	31,584	33,039	34,268	35,243	34,079	35,254	35,053	31,726	31,528	403,629
4280 Landscaping Contract	37,185	40,303	40,270	36,412	39,067	38,368	36,375	36,727	39,674	38,391	37,311	41,014	461,100
4290 Snow Removal	57,707	59,567	53,371	54,039	60,540	53,548	53,962	56,008	59,843	53,049	54,997	53,723	670,354
4300 Janitorial	62,070	61,898	62,327	64,033	61,150	63,006	62,119	57,830	62,477	57,340	62,427	62,868	739,544
4310 Pest Control	37,969	39,146	39,410	38,888	38,073	41,506	41,214	41,263	39,381	43,004	40,272	38,874	478,999
4320 Trash Removal	63,713	63,951	58,892	58,258	58,753	63,240	65,852	62,610	62,655	63,046	60,483	61,677	743,127
4330 Elevator Contract	80,752	78,513	74,338	77,232	84,116	82,197	73,960	83,673	75,296	75,907	84,646	78,003	948,632
4340 Fire & Life Safety	22,393	22,767	21,045	21,695	21,339	21,604	23,214	20,696	22,290	22,210	21,059	21,091	261,403
4350 Security	66,461	66,141	73,713	72,389	69,406	74,102	69,963	71,744	69,365	66,157	75,514	67,442	842,395
4360 Electricity - Common	78,546	79,034	80,218	85,860	84,273	78,522	85,115	83,278	84,731	86,481	87,271	77,781	991,111
4370 Gas - Common	64,260	63,559	65,425	60,186	58,475	61,216	62,953	64,534	63,169	59,617	63,279	58,629	745,304

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Operating Performance

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Effective gross income for the trailing period was $270,000, representing a 2.9% increase over the prior year. The going-in capitalization rate of 5.70% reflects the in-place income and the stabilized occupancy assumption.

Patient parking and ADA-compliant access are provided at a ratio of 27 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Debt service coverage ratio was 7.00x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $434,000, representing a 10.8% increase over the prior year. Operating expenses totaled $12,000 or approximately 32.43 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.7% of billed charges, with bad debt of 4.5% of gross potential income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. The going-in capitalization rate of 5.11% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $99,000, representing a 6.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. Operating expenses totaled $424,000 or approximately 13.00 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 41 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 26 spaces per 1,000 square feet.

Operating Performance

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 6.45% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4380 Water & Sewer	32,152	33,763	33,687	31,815	34,726	33,199	34,235	32,666	34,420	32,583	30,920	33,340	397,505
4390 Telephone/Internet	63,349	55,853	58,819	62,397	61,656	56,036	58,918	62,121	58,974	57,687	59,712	57,538	713,060
4400 Advertising	18,893	17,980	20,071	18,237	18,933	17,788	19,216	19,719	19,686	18,347	18,569	19,656	227,096
4410 Resident Events	20,057	19,352	19,585	20,749	19,235	19,034	21,183	19,562	19,084	20,377	19,174	18,532	235,924
4420 Office Supplies	33,749	37,343	36,282	34,406	35,826	38,288	37,039	34,708	35,325	36,844	35,962	35,034	430,806
4430 Legal & Professional	78,165	74,247	71,075	70,949	77,939	73,251	79,539	78,205	74,857	80,114	79,263	80,463	918,067
4440 Accounting & Audit	21,844	21,822	19,487	19,407	20,824	19,413	19,431	20,499	20,698	19,822	20,421	19,572	243,240
4450 Licenses & Permits	41,036	40,702	41,277	44,715	41,115	41,779	43,433	42,832	41,538	43,308	40,394	39,906	502,033
4460 Management Fee	23,777	23,572	22,946	21,110	22,057	21,537	23,683	23,413	23,496	21,547	23,515	21,106	271,759
4470 Property Insurance	80,136	73,194	73,080	72,378	79,138	81,817	79,677	76,329	77,366	78,210	81,243	82,024	934,591
4480 Real Estate Taxes	16,827	16,485	17,172	17,401	17,733	17,685	16,521	17,856	17,722	17,398	17,630	17,152	207,583
4490 Asset Management Fee	36,265	37,796	39,810	35,406	38,344	36,000	36,051	36,808	36,823	35,235	38,094	36,267	442,900
4500 Replacement Reserves	47,372	50,197	50,471	50,104	50,112	49,652	51,807	47,771	52,378	51,604	53,314	50,096	604,879
4510 Roof Repairs	71,148	67,846	65,022	68,909	62,084	64,617	67,925	63,381	63,221	67,573	69,705	67,874	799,304
4520 Parking Lot Repairs	62,308	64,575	66,546	70,297	66,050	68,802	61,112	67,707	69,390	68,824	61,748	63,314	790,674
4530 Signage	55,059	61,415	57,465	55,573	55,597	59,526	60,978	56,795	55,402	60,613	59,194	59,692	697,309
4540 Tenant Improvements	37,490	36,280	36,799	37,442	39,194	39,369	37,720	40,183	38,471	39,640	40,552	36,389	459,529
4550 Leasing Commissions	15,508	15,707	16,129	15,078	14,859	15,359	15,351	15,597	15,655	16,564	16,291	15,316	187,413
4000 Gross Potential Rent	715,056	717,632	714,246	698,385	725,929	692,211	688,835	666,747	764,876	760,722	716,116	727,698	8,588,453
4010 Loss to Lease	290,728	290,055	324,590	302,193	297,115	318,974	297,957	319,447	308,595	330,402	328,844	332,065	3,740,965
4020 Vacancy Loss	383,546	421,672	413,928	405,647	414,783	388,094	387,712	372,370	397,555	417,578	419,096	411,548	4,833,528
4030 Concessions	259,289	277,513	276,117	251,560	277,255	258,814	256,177	271,881	273,141	260,746	269,895	260,791	3,193,178
4040 Bad Debt	602,013	634,167	610,528	599,203	591,625	629,590	618,107	634,930	629,436	584,967	586,283	571,656	7,292,506
4050 Late Fees	400,396	385,415	407,874	389,122	367,525	397,887	371,250	401,210	387,578	388,576	360,658	381,275	4,638,765
4060 Utility Reimbursements	43,356	44,923	41,067	44,905	41,289	44,747	40,900	44,943	41,037	42,886	43,140	41,377	514,571
4070 Parking Income	9,207	8,622	8,852	8,635	9,256	8,721	9,578	9,765	9,029	9,118	9,273	8,952	109,009
4080 Application Fees	400,002	393,459	390,723	382,255	422,758	403,040	387,817	373,222	393,028	413,983	385,639	401,169	4,747,094
4090 Pet Rent	292,502	272,769	277,770	295,780	268,615	264,171	275,031	268,309	275,210	277,136	290,566	295,794	3,353,652
4100 Laundry Income	385,729	414,103	413,481	393,989	399,127	419,378	382,880	415,465	384,295	413,228	418,817	416,485	4,856,977
4110 Cable/Internet Revenue	340,761	310,044	315,108	329,337	312,151	345,852	341,121	335,769	342,520	335,389	352,893	328,097	3,989,040
4120 CAM Reimbursements	380,603	424,642	393,613	391,837	421,551	405,065	429,029	426,085	414,430	422,438	430,066	417,257	4,956,616
4130 Tax Reimbursements	571,442	615,732	587,348	606,031	554,999	549,855	611,028	570,211	567,701	577,780	566,356	590,210	6,968,694
4140 Insurance Reimbursemen	261,814	267,069	262,887	255,050	276,046	276,708	271,934	274,499	268,708	266,604	271,882	268,111	3,221,312
4150 Percentage Rent	220,441	249,718	249,465	243,831	250,066	223,989	236,929	249,273	230,982	243,000	240,319	237,807	2,875,821
4160 Misc. Income	614,403	575,347	604,016	582,473	541,841	609,288	603,560	603,825	600,357	609,826	593,074	592,793	7,130,802
4170 Payroll - Management	33,690	31,988	29,995	30,609	31,100	32,902	31,512	30,644	32,015	32,492	32,744	32,518	382,208
4180 Payroll - Leasing	78,082	80,272	80,221	86,196	79,981	84,835	87,465	87,758	84,414	77,297	77,072	85,692	989,286
4190 Payroll - Maintenance	22,248	22,649	23,040	24,918	22,220	25,516	22,905	23,469	24,172	24,854	23,538	23,825	283,354
4200 Payroll Taxes & Benefits	14,274	15,294	15,876	15,124	14,008	16,033	15,421	14,384	14,683	14,196	14,220	14,988	178,502
4210 Repairs - Plumbing	50,475	55,214	55,684	53,184	54,161	54,333	51,512	49,634	51,343	56,417	52,527	49,868	634,353
4220 Repairs - HVAC	30,325	33,464	29,938	31,387	29,452	31,787	33,205	31,136	31,163	30,025	31,359	29,726	372,967
4230 Repairs - Electrical	62,464	67,764	68,842	61,944	66,954	60,375	62,675	64,870	60,455	63,125	65,890	64,310	769,668
4240 Repairs - Appliances	51,867	50,922	58,404	57,642	52,602	51,275	55,598	58,097	55,035	52,725	56,565	58,149	658,882
4250 Painting & Decorating	84,000	88,163	84,389	84,626	91,210	80,946	82,148	81,838	87,673	81,808	87,192	89,621	1,023,615
4260 Flooring	81,162	85,754	88,883	84,117	80,496	82,734	86,551	85,845	87,685	86,656	81,331	88,811	1,020,025
4270 Make-Ready / Turnover	26,164	24,709	27,065	25,209	27,486	26,414	24,637	26,385	25,126	25,502	25,824	25,866	310,386
4280 Landscaping Contract	42,327	43,067	42,262	42,667	43,610	42,788	43,144	42,860	40,699	41,647	46,212	40,895	512,179

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.10% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.45x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $336,000 or approximately 47.19 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 34 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Patient parking and ADA-compliant access are provided at a ratio of 28 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 6 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Income and Expense Review

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $282,000 or approximately 27.07 per square foot, with real estate taxes representing the largest line item.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Effective gross income for the trailing period was $417,000, representing a 4.9% increase over the prior year. Debt service coverage ratio was 5.20x on a trailing basis against a covenant minimum of 1.20x. Patient parking and ADA-compliant access are provided at a ratio of 16 spaces per 1,000 square feet. Operating expenses totaled $228,000 or approximately 18.27 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 40 hours. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. Collections for the period were 96.7% of billed charges, with bad debt of 5.9% of gross potential income.

Collections for the period were 91.7% of billed charges, with bad debt of 7.4% of gross potential income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $213,000, representing a 4.9% increase over the prior year. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 6.58x on a trailing basis against a covenant minimum of 1.20x.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	54,118	53,835	51,965	52,206	55,966	52,237	52,323	51,756	53,986	57,598	53,844	51,552	641,387
4210 Repairs - Plumbing	45,467	48,162	46,962	50,745	45,174	51,001	46,181	46,986	48,092	47,172	51,134	46,762	573,838
4220 Repairs - HVAC	44,916	47,365	48,357	44,448	48,598	43,964	44,809	43,283	48,162	48,242	48,007	46,684	556,834
4230 Repairs - Electrical	39,574	41,357	36,905	39,518	41,174	39,860	40,500	37,526	38,870	38,799	36,613	37,316	468,012
4240 Repairs - Appliances	64,082	64,456	58,453	60,911	58,933	64,335	59,228	57,837	57,335	57,035	61,590	57,209	721,405
4250 Painting & Decorating	14,628	15,872	15,522	14,592	15,661	15,569	15,208	14,934	15,411	16,215	14,625	14,697	182,935
4260 Flooring	58,397	55,978	56,595	55,738	58,049	54,965	54,253	55,745	56,496	54,653	53,259	55,862	669,989
4270 Make-Ready / Turnover	71,853	71,672	74,100	69,440	77,757	68,692	77,011	68,499	76,377	68,756	70,064	76,711	870,931
4280 Landscaping Contract	16,328	17,389	18,066	16,720	17,413	16,652	17,632	16,326	16,175	17,273	17,313	17,316	204,600
4290 Snow Removal	23,879	24,162	27,194	26,735	25,855	25,292	25,534	25,320	24,123	24,617	24,128	25,467	302,308
4300 Janitorial	63,204	62,650	67,971	60,052	68,209	60,521	67,249	63,179	59,992	60,405	65,786	60,228	759,444
4310 Pest Control	13,872	15,542	14,317	15,279	14,207	14,558	14,402	14,888	15,234	14,681	14,338	15,239	176,557
4320 Trash Removal	27,269	27,909	27,668	28,326	27,050	30,868	26,925	28,328	27,932	28,245	30,136	27,289	337,943
4330 Elevator Contract	13,578	12,586	13,149	12,427	12,792	14,168	14,069	12,807	12,450	14,173	12,984	13,191	158,375
4340 Fire & Life Safety	21,538	21,944	21,944	21,251	22,081	22,128	20,425	21,364	22,488	22,262	20,396	20,436	258,256
4350 Security	47,240	47,865	48,637	48,505	45,780	46,325	44,371	46,183	44,843	44,281	49,897	48,168	562,094
4360 Electricity - Common	31,428	34,092	30,880	33,295	32,769	31,695	32,773	33,333	30,841	32,281	32,908	33,174	389,467
4370 Gas - Common	22,589	19,672	20,349	21,221	20,898	21,394	21,813	21,224	21,018	21,563	20,200	21,889	253,829
4380 Water & Sewer	76,463	71,331	77,316	72,688	75,313	72,897	69,852	74,087	74,929	74,859	69,622	69,240	878,597
4390 Telephone/Internet	11,490	10,907	11,580	10,341	11,060	10,882	11,665	11,131	11,041	11,099	11,704	10,909	133,808
4400 Advertising	79,257	74,027	72,470	77,842	80,270	79,576	75,776	77,616	77,079	78,505	74,178	74,978	921,574
4410 Resident Events	26,502	29,619	27,000	27,868	26,900	28,167	29,728	29,901	26,633	28,134	28,176	27,317	335,947
4420 Office Supplies	33,203	32,858	31,392	31,450	30,422	30,337	32,824	31,632	32,749	30,841	29,904	30,852	378,463
4430 Legal & Professional	83,054	84,094	88,237	83,186	81,767	80,171	79,464	88,662	81,449	79,049	87,927	82,720	999,780
4440 Accounting & Audit	20,629	22,722	21,723	22,274	20,690	21,113	21,774	21,877	21,618	20,422	22,948	20,914	258,704
4450 Licenses & Permits	48,336	50,399	52,136	51,127	52,612	49,463	53,787	48,979	49,289	54,515	49,545	50,831	611,019
4460 Management Fee	40,419	39,567	40,828	43,008	39,700	43,325	43,883	38,986	39,400	39,939	40,625	41,384	491,063
4470 Property Insurance	71,611	72,494	69,555	71,678	67,466	73,802	69,432	65,993	66,862	67,186	70,620	67,737	834,437
4480 Real Estate Taxes	72,101	69,248	67,349	71,336	70,516	71,467	68,225	64,017	64,112	69,380	64,925	63,336	816,014
4490 Asset Management Fee	58,288	57,992	63,893	61,285	57,272	60,603	63,603	61,945	58,245	59,732	63,234	58,238	724,332
4500 Replacement Reserves	33,703	34,750	32,083	33,651	34,133	31,516	33,470	34,357	32,201	33,806	34,747	32,554	400,970
4510 Roof Repairs	34,074	35,058	33,948	33,676	35,185	33,395	33,499	36,038	32,536	35,726	36,330	35,753	415,216
4520 Parking Lot Repairs	69,028	74,750	75,210	74,304	68,934	67,878	71,009	67,544	73,454	69,633	75,193	66,148	853,084
4530 Signage	39,167	39,804	40,850	44,607	41,359	40,872	42,301	40,892	42,819	44,109	40,688	42,174	499,643
4540 Tenant Improvements	76,895	69,852	77,538	69,626	72,264	68,815	75,344	72,469	76,614	68,986	73,525	72,543	874,470
4550 Leasing Commissions	78,733	75,484	75,599	75,916	79,092	74,738	81,438	78,658	78,949	72,873	75,785	82,984	930,249
4000 Gross Potential Rent	717,512	688,206	685,027	668,028	759,826	689,549	688,415	718,950	753,458	744,559	723,514	739,601	8,576,644
4010 Loss to Lease	223,552	245,409	230,342	234,015	224,771	248,150	224,801	231,002	245,652	246,227	247,437	223,341	2,824,699
4020 Vacancy Loss	540,242	521,801	585,922	522,169	547,611	589,903	567,768	584,568	565,785	523,628	577,409	519,251	6,646,057
4030 Concessions	599,868	558,506	596,759	531,838	540,997	539,056	554,378	582,897	560,700	547,114	548,095	534,699	6,694,907
4040 Bad Debt	277,961	255,459	279,113	279,881	246,821	264,986	259,610	275,702	269,732	281,528	275,971	251,677	3,218,441
4050 Late Fees	220,487	205,828	210,720	215,747	222,046	203,362	198,985	202,386	212,901	208,057	212,482	201,857	2,514,858
4060 Utility Reimbursements	561,771	507,968	545,298	559,822	502,442	509,832	515,914	517,649	542,420	503,125	506,498	527,248	6,299,987
4070 Parking Income	427,535	447,110	462,328	458,440	468,611	459,135	413,889	436,907	470,086	472,889	422,711	418,825	5,358,465

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Valuation Discussion

Operating expenses totaled $143,000 or approximately 17.86 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $175,000, representing a 2.5% increase over the prior year. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 42 spaces per 1,000 square feet. The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 8.03x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $145,000, representing a 10.2% increase over the prior year. Operating expenses totaled $282,000 or approximately 21.57 per square foot, with real estate taxes representing the largest line item.

Property Operations

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 3 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 16 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.0% of billed charges, with bad debt of 3.0% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 6.17% reflects the in-place income and the stabilized occupancy assumption. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Debt service coverage ratio was 6.52x on a trailing basis against a covenant minimum of 1.20x.

Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. Operating expenses totaled $468,000 or approximately 12.81 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $43,000, representing a 5.5% increase over the prior year. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Collections for the period were 94.4% of billed charges, with bad debt of 7.7% of gross potential income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 19 hours.

Operating Performance

Operating expenses totaled $356,000 or approximately 33.75 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 11 spaces per 1,000 square feet. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	40,511	40,827	42,459	43,706	40,953	41,432	40,685	43,120	39,557	41,721	42,847	42,071	499,888
4210 Repairs - Plumbing	72,666	68,154	70,716	70,864	69,520	63,779	65,941	64,747	66,984	67,491	64,619	66,722	812,202
4220 Repairs - HVAC	16,696	17,599	17,273	17,816	18,805	18,171	17,215	17,333	18,736	18,460	16,928	18,536	213,568
4230 Repairs - Electrical	89,501	83,193	81,304	81,873	85,655	83,441	83,234	90,316	89,137	81,021	87,602	83,961	1,020,236
4240 Repairs - Appliances	47,986	47,772	52,134	50,166	51,979	48,997	47,334	49,454	49,601	46,673	52,176	50,188	594,462
4250 Painting & Decorating	10,257	10,952	10,655	10,656	10,617	10,375	9,882	10,071	10,898	9,912	10,233	10,831	125,340
4260 Flooring	30,024	27,791	31,174	31,714	29,458	29,945	28,157	30,846	29,997	29,895	30,557	29,582	359,139
4270 Make-Ready / Turnover	49,608	55,333	50,059	56,198	54,695	53,283	55,285	50,081	55,674	52,916	56,183	50,367	639,682
4280 Landscaping Contract	18,579	18,942	18,331	18,071	17,482	18,485	18,942	18,740	18,182	17,204	16,793	18,992	218,742
4290 Snow Removal	71,189	68,101	66,934	71,495	68,559	73,582	69,684	65,297	69,227	65,140	71,919	65,371	826,497
4300 Janitorial	26,461	25,381	24,750	26,528	25,891	24,661	25,074	25,674	23,493	26,086	25,120	26,690	305,808
4310 Pest Control	16,184	16,176	16,505	16,355	16,137	15,726	16,070	16,421	16,702	15,826	16,528	15,648	194,278
4320 Trash Removal	83,152	79,844	87,233	82,360	78,502	77,136	85,723	80,901	86,202	85,448	81,134	78,741	986,375
4330 Elevator Contract	58,607	56,484	56,618	57,456	55,512	54,447	57,325	52,903	58,395	58,554	58,582	57,855	682,738
4340 Fire & Life Safety	74,378	75,083	67,356	70,139	72,724	72,256	70,532	67,522	74,237	74,932	73,578	72,245	864,981
4350 Security	44,499	43,166	45,988	42,451	46,445	46,074	42,388	44,384	47,902	43,899	42,663	44,892	534,753
4360 Electricity - Common	84,115	84,400	85,071	81,118	80,835	88,180	79,383	88,678	84,347	87,248	78,801	80,813	1,002,988
4370 Gas - Common	67,303	69,454	63,044	64,408	69,692	65,507	69,842	64,983	64,277	63,750	69,123	69,729	801,113
4380 Water & Sewer	58,882	59,449	63,796	60,793	65,354	57,264	63,953	61,456	57,706	63,331	59,142	60,229	731,354
4390 Telephone/Internet	32,378	32,836	32,626	30,906	33,560	33,587	33,855	31,221	34,432	33,260	31,270	34,475	394,406
4400 Advertising	71,733	70,950	68,178	73,296	73,242	69,441	67,973	69,572	68,699	67,804	72,987	75,831	849,706
4410 Resident Events	38,280	39,369	40,396	38,290	37,664	42,640	38,875	39,710	38,127	40,523	41,186	40,762	475,822
4420 Office Supplies	73,303	66,625	72,237	68,893	64,985	69,298	70,103	67,605	64,407	67,631	67,525	64,303	816,916
4430 Legal & Professional	44,898	44,988	41,181	45,155	44,825	40,762	45,782	41,853	40,958	44,074	42,685	41,684	518,845
4440 Accounting & Audit	13,188	13,113	13,270	12,987	12,575	13,553	13,420	12,355	13,580	12,557	13,866	13,905	158,367
4450 Licenses & Permits	25,721	25,236	24,800	24,315	25,492	24,056	23,580	23,627	24,895	24,951	22,885	22,792	292,349
4460 Management Fee	80,321	76,255	76,435	80,924	73,787	80,382	73,550	74,028	77,085	79,017	78,367	81,950	932,101
4470 Property Insurance	49,928	50,956	53,048	49,754	52,522	52,762	51,187	50,324	56,030	52,542	51,528	55,250	625,830
4480 Real Estate Taxes	49,099	50,574	50,573	47,708	47,070	46,913	47,715	50,818	46,235	46,659	49,172	51,949	584,485
4490 Asset Management Fee	7,423	7,459	8,236	7,452	7,714	8,161	7,297	7,361	7,653	7,336	8,208	7,897	92,197
4500 Replacement Reserves	46,356	46,698	46,854	46,604	44,725	50,939	50,769	50,756	49,352	50,157	47,047	45,921	576,178
4510 Roof Repairs	26,343	26,997	27,171	27,666	25,789	24,978	25,322	27,800	26,296	25,814	24,679	25,873	314,729
4520 Parking Lot Repairs	33,425	36,090	32,513	35,084	33,231	32,302	36,010	35,472	34,992	32,265	35,802	35,584	412,770
4530 Signage	30,134	29,725	29,090	29,578	30,854	30,855	32,319	29,053	31,362	31,360	31,948	29,318	365,598
4540 Tenant Improvements	62,745	66,116	67,007	67,558	61,042	60,785	67,755	61,273	66,451	67,271	63,107	67,818	778,928
4550 Leasing Commissions	18,539	19,745	18,614	20,251	20,293	19,024	18,235	18,968	19,624	19,550	19,538	20,233	232,613
4000 Gross Potential Rent	742,266	716,603	675,398	702,954	673,071	742,258	733,134	721,108	702,631	738,084	760,845	731,311	8,639,664
4010 Loss to Lease	547,918	510,446	485,864	525,756	524,062	528,742	493,108	539,672	517,338	487,868	525,925	508,114	6,194,813
4020 Vacancy Loss	49,892	44,951	49,581	46,631	50,460	45,497	45,906	47,500	50,298	45,922	47,907	50,640	575,185
4030 Concessions	328,934	321,558	353,148	358,176	363,711	320,488	336,848	352,123	336,937	346,540	353,671	327,154	4,099,288
4040 Bad Debt	648,608	620,606	619,240	622,022	591,647	637,650	663,026	606,547	595,338	668,418	655,353	619,115	7,547,569
4050 Late Fees	467,387	492,888	478,893	532,977	503,174	519,121	489,578	534,823	497,867	527,329	488,511	509,156	6,041,703
4060 Utility Reimbursements	366,793	361,726	356,034	342,610	358,290	358,477	390,051	382,672	344,838	375,858	356,116	345,234	4,338,698
4070 Parking Income	429,055	377,812	390,148	410,499	379,317	422,389	416,600	381,184	383,631	383,798	420,779	428,367	4,823,580
4080 Application Fees	245,415	264,403	270,074	257,652	241,206	252,333	242,749	260,238	271,485	272,490	268,535	268,717	3,115,298
4090 Pet Rent	70,809	65,337	64,076	66,276	65,991	63,205	63,402	66,900	65,318	63,774	64,278	64,370	783,737
4100 Laundry Income	202,216	188,103	193,037	201,741	187,103	205,873	198,204	202,429	186,135	181,951	184,241	180,885	2,311,918

Report generated 11/17/2022. Figures are unaudited and subject to change.

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Effective gross income for the trailing period was $404,000, representing a 10.5% increase over the prior year. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 4 spaces per 1,000 square feet. Debt service coverage ratio was 8.16x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $387,000 or approximately 25.34 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Management Commentary

Patient parking and ADA-compliant access are provided at a ratio of 29 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 11 hours. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Collections for the period were 90.2% of billed charges, with bad debt of 4.7% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Effective gross income for the trailing period was $386,000, representing a 8.4% increase over the prior year. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The going-in capitalization rate of 6.49% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Debt service coverage ratio was 5.49x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Service requests are tracked through a work-order system with an average completion time of 22 hours. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 40 spaces per 1,000 square feet.

Patient parking and ADA-compliant access are provided at a ratio of 3 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Service requests are tracked through a work-order system with an average completion time of 19 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.90x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.24% reflects the in-place income and the stabilized occupancy assumption.

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Summary and Notes

Valuation Discussion

Patient parking and ADA-compliant access are provided at a ratio of 7 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 8.18x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $404,000, representing a 10.5% increase over the prior year. Operating expenses totaled $327,000 or approximately 47.59 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses.

Leasing and Marketing

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Collections for the period were 96.0% of billed charges, with bad debt of 7.1% of gross potential income. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 33 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Collections for the period were 89.9% of billed charges, with bad debt of 7.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

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